

TATA MOTORS

5-Year Financial Performance and Valuation Analysis

FY2022–FY2026

A financial case study examining revenue growth, profitability, financial health, cash generation and valuation considerations.

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A. Executive Summary

This case study evaluates Tata Motors' consolidated financial performance from FY2022 to FY2026 using the financial basis presented in the Tata Motors Passenger Vehicles FY26 results.

The historical period shows a substantial improvement through FY25. Revenue increased from ₹2.78 lakh crore in FY22 to ₹4.40 lakh crore in FY25, while EBITDA increased from ₹26,732 crore to ₹57,649 crore. Total debt also declined materially from ₹1,64,216 crore to ₹62,499 crore.

FY26 marked a difficult operating year. Consolidated revenue declined to ₹335,582 crore, EBITDA margin fell to 6.8%, EBIT margin was 1.1%, and profit after tax from continuing operations was a ₹1,377 crore loss. Tata Motors identified JLR headwinds including the cyber incident, tariffs, China luxury tax, VME pressures and adverse commodities.

The FY26 reporting also reflects the 2025 restructuring. For this case study, FY26 remains on the consolidated continuing-operations basis shown in the FY26 Tata Motors Passenger Vehicles results, rather than substituting the separate commercial-vehicle entity's ₹83.9K crore revenue.

Core conclusion

Tata Motors' financial position strengthened substantially through FY25, but FY26 showed a sharp deterioration in operating profitability and cash generation. The investment question is whether the FY26 pressures are temporary or represent a lower sustainable earnings base.

B. Research Question and Methodology

Research question: How did Tata Motors' financial performance, financial health and cash generation change between FY2022 and FY2026, and what do these changes imply for valuation?

Objectives: measure revenue and earnings growth; evaluate profitability; assess leverage and liquidity; examine cash generation; and establish a disciplined valuation framework.

Data basis: Tata Motors annual reports and FY26 consolidated results, with FY26 continuing-operations figures taken from the FY26 results presentation and consolidated financial statements.

Area	Key measures
Growth	Revenue and year-over-year movement
Profitability	EBITDA, EBIT, net profit and margins
Financial health	Debt, equity, assets and cash
Cash generation	Operating cash flow, CapEx and free cash flow
Valuation	P/E, EV/EBITDA, P/B and DCF framework

Important methodological point: FY26 should not be replaced by the separate ₹83,855 crore commercial-vehicle entity revenue when the case study is intended to analyze the Tata Motors Passenger Vehicles/JLR continuing-operations group. Tata Motors' FY26 Passenger Vehicles result reports ₹335,582 crore consolidated revenue.

C. Five-Year Financial Performance

Metric (₹ Cr, except EPS)	FY22	FY23	FY24	FY25	FY26
Revenue	278,454	345,967	437,929	439,695	335,582
EBITDA	26,732	37,018	62,798	57,649	22,912
EBIT / Underlying EBIT	1,949	12,454	35,910	34,697	≈3,691*
PBT (before exceptional items)	7,003	3,058	27,955	33,780	2,519
Net Profit/(Loss)	11,235	2,353	31,807	28,149	(1,377)
Basic EPS	29.88	6.29	81.95	65.01	4.43
Operating Cash Flow	14,283	35,388	67,915	63,102	13,041

Table 1. Consolidated financial performance. *FY26 EBIT is an approximate derivation from the reported 1.1% EBIT margin; use the exact annual-report line item if a precise EBIT amount is required.

Consolidated Revenue (₹ Cr)

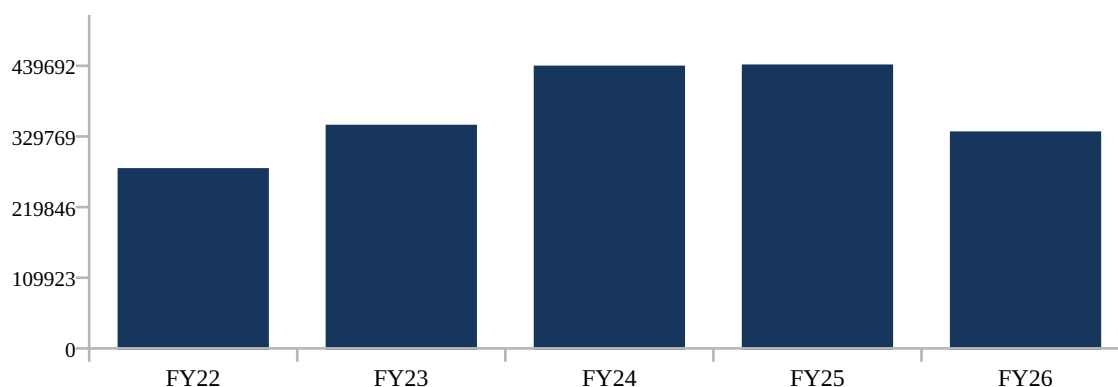


Figure 1. Consolidated Revenue (₹ Cr).

Revenue reached a peak of ₹4.40 lakh crore in FY25 before declining to ₹3.36 lakh crore in FY26. The FY26 decline was accompanied by a sharp contraction in EBITDA and EBIT margins.

D. Profitability Analysis

Margin	FY22	FY23	FY24	FY25	FY26
EBITDA Margin	9.6%	10.7%	14.3%	13.1%	6.8%
EBIT Margin	0.7%	3.6%	8.3%	7.9%	1.1%
Net Profit Margin	4.0%	0.7%	7.3%	6.4%	-0.4%

Table 2. Profitability margins. FY26 figures follow the continuing-operations basis reported in the FY26 consolidated results.

EBITDA (₹ Cr)

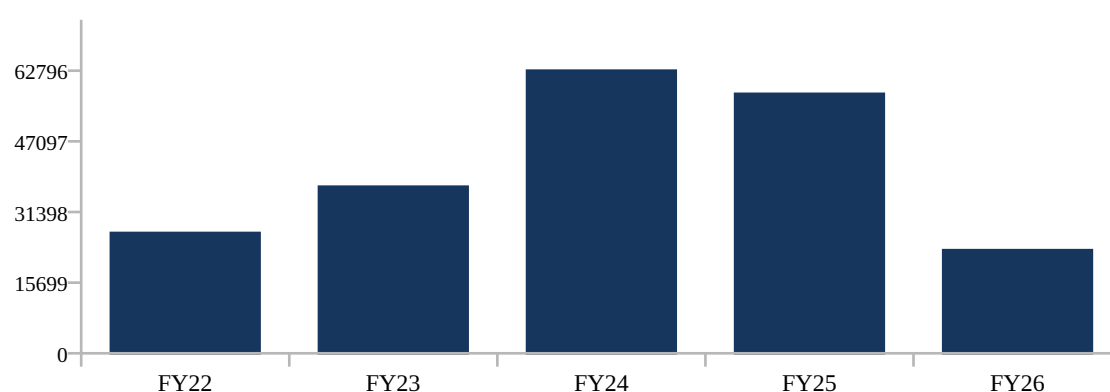


Figure 2. EBITDA (₹ Cr).

EBITDA margin expanded from 9.6% in FY22 to 14.3% in FY24, remaining strong at 13.1% in FY25. FY26 saw a sharp decline to 6.8%.

The FY26 deterioration was particularly visible in JLR. FY26 JLR revenue was ₹22.9 billion, down 20.9% year on year, while the group faced the effects of the cyber incident, tariffs and other cost pressures.

Key observation

FY24–FY25 represent the strongest historical profitability period in this dataset. FY26 demonstrates the sensitivity of Tata Motors' earnings to JLR operating conditions and external cost pressures.

E. Financial Health

₹ Cr	FY22	FY23	FY24	FY25	FY26
Total Assets	330,620	336,081	370,664	378,642	381,922
Total Equity	48,843	52,600	93,094	122,754	118,842
Total Debt	164,216	125,660	95,500	62,499	69,953
Cash & Cash Equivalents	38,159	31,887	40,015	34,349	22,880
Net Debt	126,057	93,773	55,485	28,150	30,710

Table 3. Balance-sheet and leverage indicators. FY26 total assets, equity, debt and cash are reported in the consolidated balance sheet; net debt was ₹30,710 crore.

Total Debt (₹ Cr)

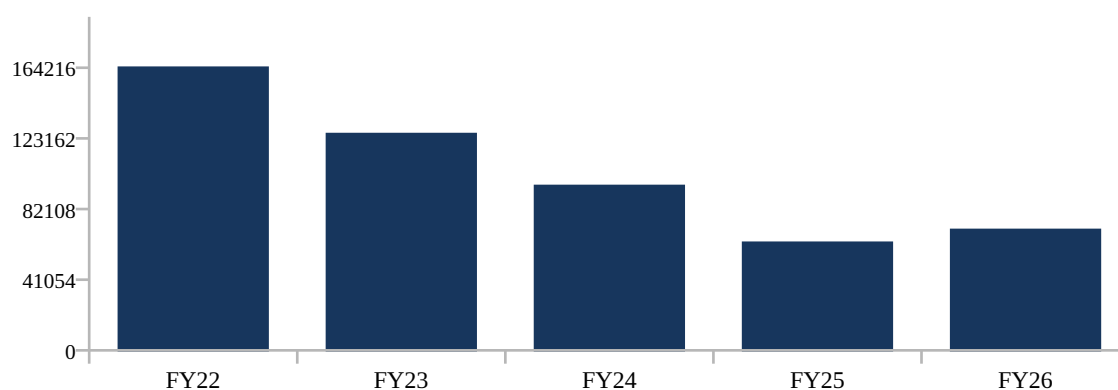


Figure 3. Total Debt (₹ Cr).

Debt fell dramatically through FY25, reaching ₹62,499 crore. FY26 total borrowings increased to ₹69,953 crore, while cash declined to ₹22,880 crore. Net debt therefore increased to ₹30,710 crore.

Financial health refers to balance-sheet strength, leverage and liquidity. The historical improvement remains important, but FY26 shows that the balance sheet was under pressure as operating cash generation weakened.

F. Cash Flow and Capital Expenditure

Operating Cash Flow (₹ Cr)

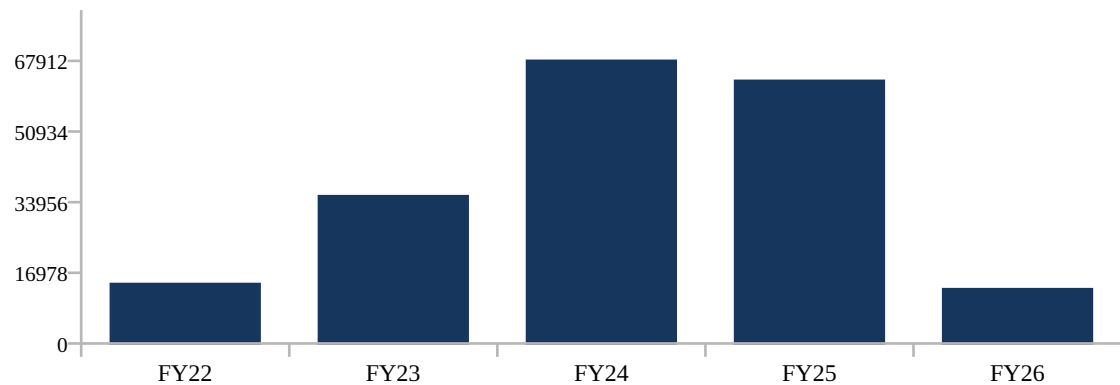


Figure 4. Operating Cash Flow (₹ Cr).

Cash-flow measure	FY26
Operating Cash Flow	₹13,041 Cr
Capital Expenditure	₹38,893 Cr
Reported Consolidated FCF	₹(26,823) Cr
Net Debt	₹30,710 Cr

Table 4. FY26 cash-flow indicators. Operating cash flow was ₹13,041 crore and reported consolidated free cash flow was negative ₹26,823 crore. The project dataset uses approximately ₹38,893 crore as FY26 capital expenditure.

Reported FCF should be kept separate from a simple OCF-minus-CapEx calculation because company-reported free cash flow can include additional cash-flow adjustments.

Key observation

FY26 cash generation is one of the most important warning signals in the analysis. The business generated ₹13,041 crore from operations but reported negative consolidated free cash flow of ₹26,823 crore.

G. Operating Performance

FY26 operating indicator	Value
Vehicle wholesales	949,501 units
Revenue	₹335,582 Cr
EBITDA Margin	6.8%
EBIT Margin	1.1%
PBT before exceptional items	₹2,519 Cr
PAT	₹(1,377) Cr
JLR Revenue	£22,911 million
Tata Passenger Vehicles Revenue	₹58,465 Cr

Table 5. FY26 operating indicators.

The segment picture is important. Tata Passenger Vehicles revenue increased 20.7% to ₹58,465 crore, while JLR revenue declined 20.9% to £22,911 million. This divergence shows why consolidated performance should not be interpreted from the topline alone.

The main FY26 headwinds identified in the results were the JLR cyber incident, US tariffs, China luxury tax, VME pressures and adverse commodities.

H. Valuation Analysis

Method	Primary input	Use
P/E	EPS and market price	Measures price relative to earnings
EV/EBITDA	Enterprise value and EBITDA	Compares operating valuation
P/B	Market value and book equity	Useful for balance-sheet comparison
DCF	Future free cash flow	Estimates intrinsic value from future cash generation

Table 6. Valuation framework.

Valuation should use the same reporting perimeter for both the market value and the financial denominator. Mixing FY26 earnings from the Passenger Vehicles/JLR continuing-operations group with financial data from the separately listed commercial-vehicle entity would produce an inconsistent multiple.

A defensible DCF requires explicit assumptions for revenue growth, EBITDA margins, working capital, CapEx, tax, WACC and terminal growth. Relative valuation requires a fixed valuation date, verified share price, share count and comparable-company set.

Valuation principle

The historical financial analysis supports a clear recovery narrative through FY25, but FY26 shows why sustainable earnings and free cash flow should be normalized before applying a valuation multiple.

I. Key Findings, Risks and Conclusion

1. Deleveraging was a major historical improvement. Total debt fell from ₹1,64,216 crore in FY22 to ₹62,499 crore in FY25.
2. Profitability improved materially through FY25. EBITDA and EBIT margins expanded significantly before the FY26 decline.
3. FY26 was a difficult operating year. Revenue declined to ₹335,582 crore and EBITDA margin fell to 6.8%.
4. Cash generation weakened sharply. Operating cash flow fell to ₹13,041 crore and reported consolidated FCF was negative ₹26,823 crore.
5. JLR was a major driver of the FY26 pressure. JLR revenue declined 20.9% and the company cited the cyber incident, tariffs and other headwinds.

Risks to monitor: JLR recovery, commodity costs, tariff exposure, cash generation, leverage, EV investment requirements and the sustainability of operating margins.

Final takeaway

Tata Motors' FY22–FY25 financial transformation was significant, particularly in profitability and deleveraging. FY26 reversed much of the operating momentum, making earnings recovery and free-cash-flow normalization the central questions for valuation.

J. Appendix and Sources

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Revenue	278,454	345,967	437,929	439,695	335,582
EBITDA	26,732	37,018	62,798	57,649	22,912
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Sources: Tata Motors Passenger Vehicles FY26 consolidated results and integrated annual report; Tata Motors annual reports for the historical FY22–FY25 dataset.

Key formulas: EBITDA Margin = $\text{EBITDA} \div \text{Revenue} \times 100$; EBIT Margin = $\text{EBIT} \div \text{Revenue} \times 100$; Net Profit Margin = $\text{Net Profit} \div \text{Revenue} \times 100$; Net Debt = Total Debt – Cash; reported FCF should use the company's reported definition.

Note: Historical financial performance is not a guarantee of future results. Valuation conclusions depend on assumptions and market inputs used in the valuation model.